cent) are other significant service groups contributing to the national output and GVA.

Any policy aiming for a much higher proportional GDP from services of about 65–70 per cent of GDP would have to take into account the current policy matrix for these services in India and the policy reset that could enhance their potential for contributing higher growth in future. Human resources and technology are the two most important factors which determine the quantity, quality and value of services. Government policy plays a very significant role in nurturing the ecosystem for human resources and technology to work best. Therefore, policy reforms relating to the services sector can contribute best to India's quest for a $10 trillion economy fifteen years from now.

Policy Reforms for Maximizing the Opportunity of Trade Transformation

With trade and repairs contributing 10–11 per cent of GDP, the value addition in the trade and repairs services group exceeds Rs 20 lakh crore. The trade and repair group is also the largest employer of labour, after agriculture.

Digitalization of distribution is upending the trade group. E-commerce is fast making significant inroads in all segments of trade: wholesale, storage, distribution and retail. The nature of the e-commerce business—large fulfilling centres employing labour largely in managing stores and delivering packets—is threatening the viability and sustenance of traditional wholesaling and retailing through fixed warehouses and retail shops. The e-commerce model uses IT extensively on omnipresent mobile networks and is far more cost-effective and efficient. Though e-commerce appears to be in the control of large e-commerce companies like Amazon and Flipkart, it is also enabling manufacturers to establish a direct relationship with the consumer. E-commerce has become an existential threat to middlemen and